

W.P. No.29124/2014

Bismillah Fabrics

Govt. of Pakistan etc.

17.11.2014 Barrister Muhammad Umar Riaz Advocate for
petitioner.
Mr. Umar Sharif Advocate for respondent SNGPL.

The learned counsel for the respondent has pointed out that in T.A.No.157/2014 titled Fancy Dying Versus SNGPL this Court has already ordered that all petitions, complaints or suits relating to the Gas Theft Control and Recovery Ordinance, 2014 whose value exceeds Rs.5.0 million shall be transmitted to this Court for decision in terms of section 4(2) of the Ordinance. A report was called for from the office regarding the suit filed by the petitioner in the Gas Utility Court at Faisalabad. The office has reported that the file of the petitioner's suit has not been received yet in the Urgent Cell of this Court so far.

2. It seems that the file of suit titled Bismillah Fabrics versus Chairman SNGPL bearing No.95/1 dated 22.03.2011 has not been received by the office which ought to have been done by now. Let the office requisition the file of the original suit filed by the petitioner from the Gas Utility Court Faisalabad and upon receipt of the same shall proceed to fix the said

case as expeditiously as possible after compliance with the usual formalities.

3. One of the prayer made by the petitioner is for setting aside of notice dated 28.10.2014 whereby the respondent company has called the bank guarantee furnished by the petitioner company. This letter is addressed to the Branch Manager Askari Bank Limited University Road, Faisalabad and requires encashment of bank guarantee amounting to Rs.4,000,000/-.

4. The learned counsel for the respondent company SNGPL has opposed the prayer for suspending the said letter on the basis that the law relating to issuance of stay with regard to bank guarantee is well entrenched and has been reiterated by the superior courts more than once. He has referred to Shipyard K. Damen International versus Karachi Shipyard and Engineering Works Ltd. (PLD 2003 S.C.191) to support his submissions. He further submits that it would not be proper to issue an order for stay of bank guarantee in view of the settled law.

5. There is no cavil that the law as regard encashment of bank guarantees and that relating to issuance of temporary injunction in such matters is not in doubt. The judgment referred by the learned counsel for the respondents exhaustively deals with the issue.

6. I am aware of the law laid down by the Hon'ble Supreme Court of Pakistan with regard to issuance of temporary injunction relating to the bank guarantee and also that a thing which cannot be done directly cannot also be done indirectly. However, this case turns on its own facts. There is no doubt that the petitioner has made all possible efforts within his capacity to approach different forums to which he could apply but it so happened that the file of the suit which was pending before Gas Utility Court at Faisalabad could not be transmitted to this Court despite an order passed in T.A.No.157/2014 referred to above. All his attempts in this regard have foundered. On the last date of hearing, report was called from the office which has informed that the original file has not yet reached the office of this Court and therefore, a direction has been issued in the aforesaid terms for the original file to be transmitted to this Court from the Gas Utility Court Faisalabad with all deliberate speed.

7. Despite the general preposition of law that there is an absolute obligation on the bank in absence of allegation of fraud or special equity giving rise to strong prima facie case, no Court can restrain encashment of bank guarantee, yet this Court in exercise of its Constitutional jurisdiction is not restricted by the normal rules governing grant of temporary injunction in respect of a Civil Court in a regular suit.

The power is not hedged in by the rules laid down to be followed in ordinary civil jurisdiction. It must also be borne in mind that the rules governing issuance of temporary injunction have been formulated by the courts to regulate their jurisdiction. This case also raises equally established principles that no one should suffer on account of an act of Court or judicial functionaries. This competing right ought to be balanced against the principles with regard to the said matters involving bank guarantees. Support may be sought from the rulings reported as Muhammad Iqbal through Legal Heirs and others versus Khan Muhammad through Legal Heirs and others (PLD 1999 SC 35), Imran Ashraf and 7 others versus The State (2001 SCMR 424) and Begum Nusrat Ali Gonda versus Federation of Pakistan and others (PLD 2013 S.C. 829). It is not denied that the petitioner had to run from pillar to post yet was not able to find the forum in which the required application seeking temporary injunction could be filed. In view of the peculiar facts and circumstances of the case it is directed that till the time the file of original suit filed by the petitioner before Gas Utility Court at Faisalabad is transferred to this Court and is fixed before a Bench having jurisdiction in the matter, no coercive measures shall be taken against the petitioner by the respondent SNGPL pursuant to the letter dated 28.10.2014. It is however, made clear that

the office of this Court shall take steps to receive the file of original suit from the Gas Utility Court Faisalabad, number it and fix the same before a Bench having jurisdiction in the matter promptly and expeditiously after fulfilling all formalities. Upon such fixation, the question regarding interim injunction shall be dealt with by the Hon'ble Bench before which the original suit is listed for hearing. The office shall also put up a report on administrative side after a period of fortnight from today regarding fixation of the petitioner's suit.

8. With these observations and direction, this writ petition is **Disposed of.**

(SHAHID KARIM)
JUDGE

Approved for Reporting

JUDGE

A.KHOKHAR